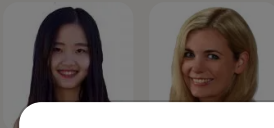


The US is rolling out a multipronged strategy to reduce its reliance on China's rare earth supply chain. While it is unlikely to challenge China's dominance, it could provide meaningful alternative supply. End users therefore need to evaluate, reconfigure, and invest in supply chain resilience



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Rare earth security rises to the top of the national agenda

Rare earth materials are critical to sectors such as semiconductors, defence, wind energy, and EVs, but the US remains heavily dependent on China for its supply. As trade uncertainty persists, securing the rare earth supply chain has become a national priority for the US.

After decades of underinvestment, the US is unlikely to challenge China's global dominance anytime soon. But that is not necessarily the goal. Its increasingly sophisticated strategy is designed to build

a meaningful alternative supply chain that can protect strategic sectors during geopolitical disruption.

For rare earth manufacturers, this creates opportunities to expand production and build more integrated supply chains. For end users, it highlights the need to better understand supply chain risks while investing in long-term resilience.

How the US is strengthening its supply chain

The US's government-led rare earth supply strategy is becoming increasingly comprehensive. It is expanding supply sources

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domestic rare earth supply chain. Similarly, in 2025, the Department of Defence (DOD) announced it would acquire a 15% stake in MP Materials, alongside a 10-year purchase agreement for the company's magnets and a 10-year price floor for neodymium-praseodymium (NdPr) oxide, a critical input for permanent magnets.

These measures are critical in reducing investment risk and helping manufacturers expand production. Below are examples of new capacity announcements in the US, particularly at supply chain weak spots.

- **Processing and refining:** [Ucore](#) announced in May 2026 that it will build a facility capable of processing 9,000 tons of rare earth feedstock per year, a major step up from its demonstration-scale facility in Canada. MP Materials has not disclosed a production target, but output is already rising, with 1,757 tons of NdPr oxide produced in the first half of 2026 versus about 2,600 tons in all of 2025.
- **Magnets:** [MP Material](#), [Vulcan Elements](#), and [USA Rare Earth](#) have all announced plans to produce 10,000 tons of NdFeB magnets each at their respective facilities. In comparison, MP Materials produced its first magnets in Q4 2025, and USA Rare Earth announced plans to produce 600 tons of magnets in Q4 2025.

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Following China's temporary rare earth export restrictions in October 2025, the US and Australia agreed to deepen cooperation on critical minerals and rare earths through an \$8.5bn partnership. As such, companies such as Energy Fuels and Lynas Rare Earths are sourcing Australian feedstock for processing and manufacturing operations in the US.

Brazil's strength lies in its resource base. The country holds the world's second-largest rare earth reserves, estimated at roughly 25% of China's. In 2026, USA Rare Earth announced a \$2.8bn deal to acquire Serra Verde, the operator of Brazil's only producing rare earth mine in Goiás.

“Friend-shoring allows the US to secure supply more quickly and cost-effectively.”

The US DOD is actively supporting friend-shoring efforts in both countries, through methods such as loans and purchase

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significant.”

Yet the long-term recycling opportunity is significant. Recycling end-of-life products could meet 10% of global rare earth demand by 2050, according to the International Energy Agency. In North America alone, there could be nearly 14,000 tons of end-of-life magnet rare earth feedstock available by then, from wind equipment, EV motors, and other e-waste. These could be an important niche to boost US supply security.

Government support will be important in scaling up recycling technologies, and the US has already begun to provide it. For

example, Critical Materials Recycling received \$3.4m in funding from the Department of Energy (DOE) to recover high-purity rare earth oxides from shredded computer hard drives and other e-waste.

Companies are also developing so-called "short-loop" recycling, which turns end-of-life magnets directly into new magnets without first breaking them down into raw materials. Noveon Magnetics is one example and has received nearly \$30m in DOE funding to advance the technology.

Companies in the US have collectively announced 15,000 tons of

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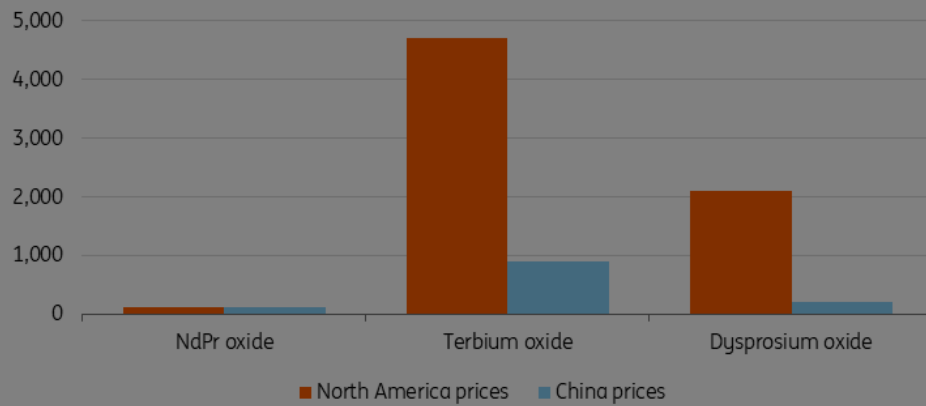
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Competitiveness also varies significantly by rare earth element. For example, NdFeB magnets require neodymium, praseodymium, terbium and dysprosium. The US could become cost-competitive in producing NdPr oxide. But producing terbium and dysprosium oxides remains far more expensive than in China, as reflected in the much higher prices. This partly reflects the composition of US reserves, which contain way less terbium and dysprosium.

Selected rare earth intermediary product prices

\$/kg



Source: S&P, ING Research. Data is as of early 2026.

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vulnerabilities, looking beyond direct suppliers to upstream sources of rare earth materials. This helps identify where dependencies on China remain and provides a clearer view of potential risks.

- **Reconfigure:** Where material risks are identified, companies may need to adjust sourcing strategies. This could include paying a reasonable premium for non-Chinese supply to improve supply security, an approach that is attracting growing interest. For particularly vulnerable materials, maintaining larger inventories may also help mitigate disruption risks.

- **Invest:** Companies can strengthen long-term resilience by securing purchasing agreements with alternative suppliers. They can also support broader supply chain resilience through investments in areas such as recycling, processing, and other capabilities.

The US's rare earth strategy aims to support both domestic producers and downstream users. However, end users would not benefit from waiting for these initiatives to deliver results. Proactively managing supply chains today will be critical to securing business continuity tomorrow.

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